

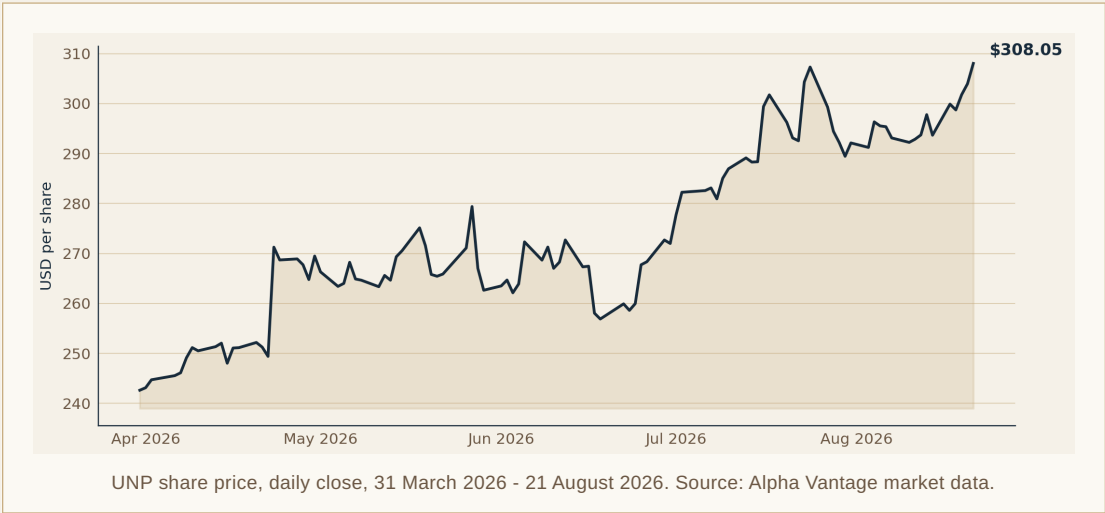
UNION PACIFIC

Union Pacific Corporation

NYSE : UNP · United States · Class I Railroad

USD 308.05

Closing price, 21 August 2026 (+1.34% on the day · intraday record close)



Executive Summary

Union Pacific Corporation is the holding company for Union Pacific Railroad, a Class I freight railroad operating roughly 32,000 route miles across 23 states in the western two-thirds of the United States, linking West and Gulf Coast ports to Eastern rail gateways, Canada and all six Mexico crossings. The company reported USD 24.51 billion of revenue and USD 7.14 billion of net income in fiscal 2025, and is the target of a pending USD 85 billion stock-and-cash acquisition of Norfolk Southern Corporation that, if approved, would create the first single-line transcontinental railroad in North America.

Business

Union Pacific moves bulk, industrial and premium freight for shippers who have no practical substitute for long-haul, high-volume rail transport. Three commodity groups generated 2025 freight revenue of USD 22.22 billion: Bulk (grain, coal, fertilizer, food) at 33%, Industrial (chemicals, plastics, metals, forest products) at 37%, and Premium (intermodal containers, finished vehicles) at 30%.¹ Revenue is concentrated in the United States, with meaningful cross-border exposure to Mexico and Canada through interchange agreements rather than owned track.

Financial Condition

Trailing-twelve-month revenue through the second quarter of 2026 was USD 25.41 billion, with an operating margin of 41.0% and EBITDA of USD 12.88 billion.² Fiscal 2025 operating cash flow was USD 9.29 billion against capital expenditure of USD 3.79 billion, producing free cash flow of USD 5.50 billion (22.4% FCF margin, Calculated). Net debt stood at USD 30.54 billion at year-end 2025, equivalent to 2.4 times EBITDA (Calculated).

Market Position

Union Pacific is one of six North American Class I railroads, alongside BNSF (private, Berkshire Hathaway), CSX, Norfolk Southern, Canadian Pacific Kansas City and Canadian National. Its principal advantage is an irreplaceable western network with exclusive access to Pacific Coast and Gulf Coast gateways; its principal weakness is a fixed, capital-intensive asset base that cannot flex quickly to volume swings and a network confined to the western half of the country, requiring interchange with an eastern partner to move freight coast to coast.

Valuation

At the 21 August 2026 closing price of USD 308.05, Union Pacific's market capitalization was approximately USD 183.0 billion and enterprise value approximately USD 213.5 billion (Calculated). This implies a trailing P/E of 24.96x, EV/EBITDA of 16.58x, and a price-to-free-cash-flow multiple of 33.3x (Calculated); the P/E sits at the top of its five-year range and roughly 4 to 5 turns above where the stock traded at the end of 2024 and 2025.

Investment Framework

What is attractive: a structurally advantaged, high-margin network with pricing power, consistent free cash flow, and a pending merger that would materially extend network reach if approved.

What is concerning: valuation has re-rated sharply in 2026 on merger optimism even though the merger has not been approved and carries meaningful execution and regulatory risk; standalone cash flows do not obviously support the current price under conservative assumptions.

What must go right: the Surface Transportation Board must approve the Norfolk Southern merger on terms that preserve service quality and shipper access, and Union Pacific must sustain its post-2023 operating discipline through a large integration.

What could break the thesis: STB rejection or heavily conditioned approval of the merger, a reacceleration of the operating ratio, or a freight recession that exposes the fixed cost base.

What appears priced in: the current share price appears to require either sustained high-single-digit to double-digit revenue growth, a terminal growth rate well above nominal GDP, or a market discount rate materially below what the stock's own beta would suggest, consistent with the market treating Union Pacific as a scarce, bond-like infrastructure asset with embedded merger optionality (Reasoned; see Section B3).

Investment Profile

BUSINESS QUALITY	High. Regulated, capital-intensive network with durable competitive position and limited substitutability for bulk long-haul freight.
FINANCIAL QUALITY	Strong. Operating margins near 40%, consistent free cash flow generation, investment-grade balance sheet.
COMPETITIVE POSITION	Strong within its western footprint; structurally dependent on eastern partners for coast-to-coast freight absent the pending merger.
GROWTH PROFILE	Low-single-digit organic volume and pricing growth historically; the Norfolk Southern transaction is the primary source of step-change growth optionality.
BALANCE-SHEET RISK	Moderate. Net debt/EBITDA of 2.4x pre-merger; management guides to pro forma leverage near 3.3x at deal close, funded partly with new debt.
VALUATION	Rich relative to the company's own five-year history and to a conservative standalone discounted cash flow estimate.
MARKET AND TECHNICAL PROFILE	Shares closed at an all-time high on the report date, up approximately 32% year to date versus an approximate 12.4% total return for the S&P 500 over the same period.

A. About the Business

A1. Business Environment

Union Pacific operates in the North American Class I freight rail industry, a mature, capital-intensive, and heavily regulated segment of the broader surface freight transportation market. The industry moves bulk commodities, intermediate industrial goods, and containerized intermodal freight over long distances at a cost per ton-mile that trucking cannot match, in exchange for longer transit times and lower routing flexibility. The value chain runs from shippers (grain elevators, chemical plants, auto manufacturers, importers at coastal ports) through the railroad's network of track, terminals, locomotives and rolling stock, to consignees or intermodal transfer points where freight moves to truck for final-mile delivery.

The United States rail freight transport market was valued at approximately USD 74.2 billion in 2026 and is projected to grow at a compound annual rate of roughly 3.3% to USD 87.4 billion by 2031 (Sourced).³ Intermodal traffic accounts for close to 47% of rail freight volume and roughly 43% of the combined rail-truck intermodal market, reflecting decades of share migration from single-line trucking to rail-truck combinations on longer hauls (Sourced).³ Class I railroads collectively handled approximately 9.8 million intermodal units in 2025 (Sourced).³

Industry economics are defined by very high fixed costs (track, signaling, terminals, locomotives) and comparatively low variable costs per incremental carload, which produces strong operating leverage in both directions: volume gains flow through to margin, but so do volume declines. The industry is capital intensive by design; Union Pacific alone reinvested approximately 15.5% of revenue into capital expenditure in 2025 (Calculated); and is subject to economic regulation of a kind rare in American industry: railroad mergers, common carrier obligations and certain rate disputes are overseen by the Surface Transportation Board (STB), a federal regulator with authority to approve, condition or reject railroad consolidations.

Ownership of the industry is highly concentrated. Six Class I railroads operate essentially all of the U.S. long-haul freight network: Union Pacific and BNSF Railway (owned by Berkshire Hathaway) in the west, CSX and Norfolk Southern in the east, and Canadian Pacific Kansas City and Canadian National spanning the Canada-U.S.-Mexico corridor. No new Class I railroad has been formed through greenfield construction in decades; the fixed right-of-way, terminal network and regulatory approval requirements make the industry effectively closed to new entrants.

Industry stage (Reasoned): Mature and consolidating. Freight rail volumes have grown only modestly over the past decade in aggregate, closely tracking industrial production and agricultural export volumes, while the number of Class I carriers has fallen through consolidation (most recently Canadian Pacific's 2023 acquisition of Kansas City Southern) and may fall further if the Union Pacific-Norfolk Southern merger is approved. The industry is not disrupted or declining, but it is not a growth industry in the way that term is normally used; value creation now comes primarily from pricing discipline, operating-ratio improvement, and consolidation rather than from underlying volume expansion.

A2. What Does the Company Do?

Union Pacific Railroad operates a single integrated freight network of approximately 32,000 route miles across 23 western and central U.S. states, from the Pacific Coast and Gulf Coast to Chicago and other Midwest gateways, with direct rail access to all six major U.S.-Mexico border crossings and interchange with Canadian railroads in the north.⁴ The company does not carry passengers; its entire commercial model is built around moving railcars of freight for industrial, agricultural and consumer-goods shippers under multi-year contracts, tariff rates, and fuel-surcharge mechanisms that pass through a portion of diesel price volatility.

Revenue is organized into three freight groups. Bulk (33% of 2025 freight revenue, USD 7.59 billion) covers grain, food and refrigerated products, fertilizer, coal and renewable fuels. Industrial (37%, USD 8.60 billion) covers chemicals, plastics, metals, minerals, energy products and forest products. Premium (30%, USD 7.03 billion) covers intermodal containers and finished automotive vehicles and parts.¹ Coal, once the railroad's largest single commodity, has become a smaller and structurally declining contributor as U.S. utilities retire coal generation, partially offset by growth in renewable-fuel feedstocks and export coal.

The operating model can be described as a chain running from customer to capital allocation. Shippers contract with Union Pacific for network access and committed or spot capacity (Customer); railcars of bulk, industrial or intermodal freight then move over UP's owned track and through its terminals (Product and Service); the company earns tariff or contract freight revenue plus a fuel surcharge (Revenue); costs are dominated by labor, fuel, equipment and track maintenance, and purchased services (Costs); the difference funds an operating margin that has run close to 40% in recent years (Operating Profit); operating cash flow funds heavy, continuous reinvestment in track and equipment plus dividends and, historically, buybacks (Cash Flow); and residual capital is allocated between the dividend, debt service, opportunistic buybacks and, currently, funding the cash portion of the Norfolk Southern acquisition (Capital Allocation).

Exhibit A2-1. How a freight dollar moves through Union Pacific



Stages connected in sequence from left to right; markers indicate the direction of flow. Source: analyst construction from Union Pacific's reported operating and financial model.

Stage	What happens	Approximate scale (FY2025, Calculated from reported data)
Customer	Shipper books capacity via contract or tariff (grain elevator, chemical producer, intermodal marketing company, auto manufacturer)	N/A
Revenue	Freight revenue plus fuel surcharge recognized per carload / container / vehicle moved	USD 24.51 billion total revenue
Operating costs	Labor and fringe benefits, fuel, equipment rents, depreciation, purchased services and materials, other operating expense	USD 14.67 billion operating expense (59.9% operating ratio)
Operating profit	Revenue less operating expense	USD 9.84 billion operating income (40.1% margin)
Interest and tax	Interest on approximately USD 31.8 billion of debt; cash taxes at roughly 22% effective rate	USD 1.31 billion interest expense; USD 2.03 billion tax expense
Net income	Bottom-line profit available to shareholders	USD 7.14 billion (29.1% net margin)
Cash flow & reinvestment	Operating cash flow funds capital expenditure, dividends, and (residually) buybacks or debt reduction	USD 9.29 billion operating cash flow; USD 3.79 billion capital expenditure; USD 5.50 billion free cash flow
Capital allocation	Dividends (~45% payout), share repurchases (curtailed in 2026 pending the Norfolk Southern transaction), debt service	USD 3.24 billion dividends; USD 2.68 billion buybacks (FY2025)

Source: Union Pacific FY2025 Form 10-K and Q4 2025 earnings release; margins and free cash flow are Calculated by the analyst.

The most economically important part of this model is the operating ratio; operating expense as a percentage of revenue; which functions as the industry's central profitability metric in place of a conventional gross margin, because railroads do not have a "cost of goods sold" in the manufacturing sense. Union Pacific's operating ratio improved from roughly 63% a decade ago to under 60% in 2025, reflecting the precision-scheduled-railroading discipline introduced by former and current CEO Jim Vena; every incremental point of operating ratio improvement drops close to USD 245 million to operating income at the current revenue base (Calculated).

A3. Business and Relationship Network

Union Pacific's ecosystem is defined less by conventional suppliers and more by interchange partners, because freight rail is a network business in which no single railroad reaches every origin and destination.

SEGMENTS	Bulk (grain, coal, fertilizer) · Industrial (chemicals, metals, forest products) · Premium (intermodal, automotive)
KEY CUSTOMERS	Grain exporters and agribusiness, chemical and plastics producers, automakers, intermodal marketing companies (IMCs) and ocean carriers moving containers inland from West Coast and Gulf ports
INTERCHANGE PARTNERS	Norfolk Southern and CSX in the east (freight destined beyond UP's network); Canadian National and Canadian Pacific Kansas City in the north; Ferromex and Ferrosur in Mexico via UP's direct gateway access

KEY SUPPLIERS	Locomotive manufacturers (Wabtec, Progress Rail/Caterpillar), diesel fuel suppliers, rail and track-material producers, rolling-stock lessors
LABOR	Approximately 29,300 employees represented by thirteen major rail labor unions (Sourced) ⁴
REGULATOR	Surface Transportation Board (economic regulation, merger approval); Federal Railroad Administration (safety)
PENDING COMBINATION	Norfolk Southern Corporation; target of a definitive merger agreement signed 28 July 2025, currently under STB review
COMPETITORS	BNSF Railway (western overlap), Canadian Pacific Kansas City, Canadian National, and, for shorter hauls and premium/expedited freight, the long-haul trucking industry

The Norfolk Southern relationship deserves separate emphasis because it is transitioning from "competitor and interchange partner" to, potentially, a wholly owned subsidiary. Under the merger agreement, Union Pacific would acquire all of Norfolk Southern's approximately 19,500 route miles across 22 eastern states, eliminating the need for a physical interchange handoff on transcontinental freight and creating what the companies describe as the first single-line railroad connecting the Atlantic and Pacific coasts, spanning more than 50,000 route miles across 43 states and approximately 100 ports.⁵ Each Norfolk Southern share would convert into one Union Pacific share plus USD 88.82 in cash, with the aggregate consideration split approximately 72.2% stock and 27.8% cash (Sourced).⁶

A4. Competition

Union Pacific's most economically meaningful competitors are the other five North American Class I railroads and, for a meaningful share of shorter-haul and higher-value freight, the long-haul trucking industry. Regional and short-line railroads are typically feeder partners rather than direct competitors for Union Pacific's core long-haul traffic.

Exhibit A4-1. Class I railroad competitive comparison

Company	What they move	Geography	FY2025 revenue	Operating margin	Position vs. Union Pacific
BNSF Railway (Berkshire Hathaway)	Bulk, industrial, intermodal	Western U.S.; largest direct network overlap with UP	USD 23.3bn	34.5%	Closest direct competitor; larger intermodal franchise via BNSF's Los Angeles - Chicago corridor, but a lower operating margin than UP
CSX Corporation	Bulk, industrial, intermodal, some merchandise	Eastern U.S.	USD 14.5bn (TTM)	38.4% (TTM)	No direct network overlap; an interchange partner for UP-originated freight moving east, and a potential future rival for eastern access if the Norfolk Southern deal fails
Norfolk Southern Corporation	Bulk, industrial, intermodal, automotive	Eastern U.S.	USD 12.5bn (TTM)	35.3% (TTM)	Merger target; if the transaction closes, ceases to be a competitor and becomes UP's eastern network
Canadian Pacific Kansas City	Bulk, industrial, intermodal, automotive	Canada - U.S. Midwest - Mexico single-line corridor	USD 15.4bn (TTM)	39.0% (TTM)	Only Class I with a single-line Canada-to-Mexico route; competes with UP for Mexico-bound traffic on shared corridors
Canadian National Railway	Bulk, industrial, intermodal, forest products	Canada, U.S. Midwest and Gulf Coast	USD 17.8bn (TTM)	40.3% (TTM)	Comparable scale and margin profile; limited direct network overlap with UP
Long-haul trucking	Truckload and less-than-truckload freight, including intermodal drayage	National	n/a (fragmented)	N/A	Substitute for shorter-haul and time-sensitive freight; rail retains a structural cost advantage over roughly 750 miles

Sources: Alpha Vantage company data (CSX, NSC, CP, CNI trailing-twelve-month figures as of Q2 2026 filings); Berkshire Hathaway 2025 Annual Report (BNSF FY2025). Operating margins Calculated by the analyst where not directly reported.

BNSF is Union Pacific's closest direct competitor: the two railroads' western networks overlap extensively, and shippers on many western corridors can genuinely choose between them. BNSF's 2025 operating margin of 34.5% remained below Union Pacific's 40.1%, a gap management at both companies has attributed to Union Pacific's more advanced adoption of precision-scheduled-railroading operating discipline, though BNSF has been narrowing the gap under new Berkshire leadership pressure to improve profitability (Sourced).⁷ CSX and Norfolk Southern do not compete directly with Union Pacific for origin-to-destination traffic given the lack of network overlap, but they compete for interchange traffic and, if the Norfolk Southern deal fails, could become more aggressive counterparties for east-west intermodal alliances that currently favor Union Pacific.

A5. Competitive Differences

Advantages: Union Pacific's core moat is structural network scarcity; a 32,000-mile right-of-way built over 160-plus years that could not be replicated today at any plausible cost, giving the company exclusive or near-exclusive rail access to large swaths of the western United States. This produces real switching costs for shippers whose origin or destination sits on UP's

network with no practical rail alternative. Scale advantages compound this: fixed network costs are spread over a large volume base, and density on core corridors (particularly the Sunset Route to Southern California ports and the network into Mexico) supports higher asset utilization than smaller carriers can achieve. Regulatory barriers to new entry are effectively absolute. Union Pacific also benefits from exclusive access to all six major U.S.-Mexico rail gateways, a geographic advantage none of its western or eastern peers can fully replicate.

Disadvantages: the network is confined to the western two-thirds of the country, so any shipment requiring true coast-to-coast movement must interchange with an eastern railroad, adding cost, transit time and service risk that a single-line eastern-to-western carrier would not face; the specific gap the Norfolk Southern merger is designed to close. The business is extremely capital intensive (roughly 15% of revenue reinvested annually merely to sustain the network), which caps free cash flow conversion relative to lower-capital-intensity industries. Customer concentration in a handful of large commodity categories (agriculture, chemicals, coal, intermodal) exposes revenue to sector-specific cycles, and the coal franchise is in structural decline. Rail labor agreements with thirteen unions constrain operating flexibility relative to non-union competitors in other transportation modes.

Moat assessment (Reasoned): Strong. The moat is structural rather than temporary; it rests on an irreplaceable physical network and regulatory barriers to entry that are not going to erode over the investment horizon. It is not rated "Very Strong" because Union Pacific's advantage is regional (the western network) rather than national, and because BNSF possesses a comparably strong moat within the same footprint, meaning the two railroads compete on service and price for shippers with dual access rather than one holding unconstrained pricing power.

A6. Industry Trend

Freight rail volumes have grown slowly but consistently over the past five years, driven by intermodal share gains from trucking, agricultural export cycles, and industrial production, partially offset by the structural decline of coal-fired electricity generation, which has shrunk what was once the largest single rail commodity. Pricing has been a more consistent growth driver than volume: Union Pacific and its peers have pushed through core price increases roughly in line with or ahead of rail-specific cost inflation in most recent years, a discipline that distinguishes the current era from the volume-chasing rate wars of prior decades.

The defining trend of 2025-2026 is consolidation. Canadian Pacific's 2023 acquisition of Kansas City Southern created the first single-line Canada-Mexico railroad and reset industry expectations about what the STB would approve. Union Pacific's proposed acquisition of Norfolk Southern, announced in July 2025, would go further, combining the last two railroads whose networks do not already overlap into the industry's first true transcontinental carrier. If approved, this would likely be followed by pressure for a corresponding eastern-western combination between the remaining large carriers (CSX and BNSF), though no such transaction has been announced.

Industry classification (Reasoned): Mature and consolidating, with structurally slow volume growth offset by continued pricing power and, currently, a wave of M&A that could reshape the competitive map more than any development since the 1990s wave of railroad mergers. The trend would reverse toward fragmentation only in the event of adverse antitrust intervention by the STB, which retains full authority to block the Norfolk Southern transaction or any future combination.

A7. Management

JIM VENA CHIEF EXECUTIVE OFFICER

More than 45 years in the railroad industry, beginning as a teenage laborer at Canadian National and rising through operating roles to executive vice president and chief operating officer at CN, where the railroad achieved the North American industry's best operating ratio during his tenure. Served as Union Pacific's chief operating officer in 2019-2020, then as senior advisor to the chairman, before returning as CEO in August 2023 to accelerate the company's operating-ratio improvement (Sourced).⁸

JENNIFER HAMANN EXECUTIVE VICE PRESIDENT AND CHIEF FINANCIAL OFFICER

CFO since January 2020, responsible for accounting, tax, treasury, investor relations, capital planning and, since September 2023, strategic sourcing and logistics. A long-tenured Union Pacific finance executive prior to her appointment as CFO (Sourced).⁹

BETH WHITED PRESIDENT

Previously executive vice president, sustainability and strategy and chief human resources officer; appointed president as part of the leadership realignment under Vena (Sourced).⁹

ERIC GEHRINGER EXECUTIVE VICE PRESIDENT, OPERATIONS

Leads transportation, engineering, mechanical, dispatching and premium operations; in the role since 2021, spanning the company's post-pandemic operating recovery (Sourced).⁹

Capital allocation under the current management team has prioritized operating-ratio improvement and free cash flow generation over volume growth for its own sake. The company has paid a dividend for more than a century and raised it in most recent years (quarterly dividend increased from USD 1.38 to USD 1.42 per share effective the September 2026 payment, Sourced from company dividend data), while share repurchases have varied significantly; from USD 7.29 billion in 2021 to as little as USD 0.71 billion in 2023 and USD 2.68 billion in 2025 (Calculated from reported cash flow data). The sharp deceleration in buybacks coincides with the need to preserve balance-sheet capacity ahead of the cash portion of the Norfolk Southern transaction, a capital allocation trade-off that appears deliberate rather than opportunistic. Insider ownership is modest at approximately 7.1% of shares outstanding, consistent with a large-cap company whose shares are 91.8% institutionally owned (Sourced, Alpha Vantage company data).

B. Evaluation

B1. Financial and Operating Metrics

Because railroads do not report a conventional cost-of-goods-sold, the operating ratio (operating expense divided by revenue) rather than gross margin is the industry's standard efficiency benchmark, and is used here in place of a gross-margin analysis that would not be economically meaningful for this business.

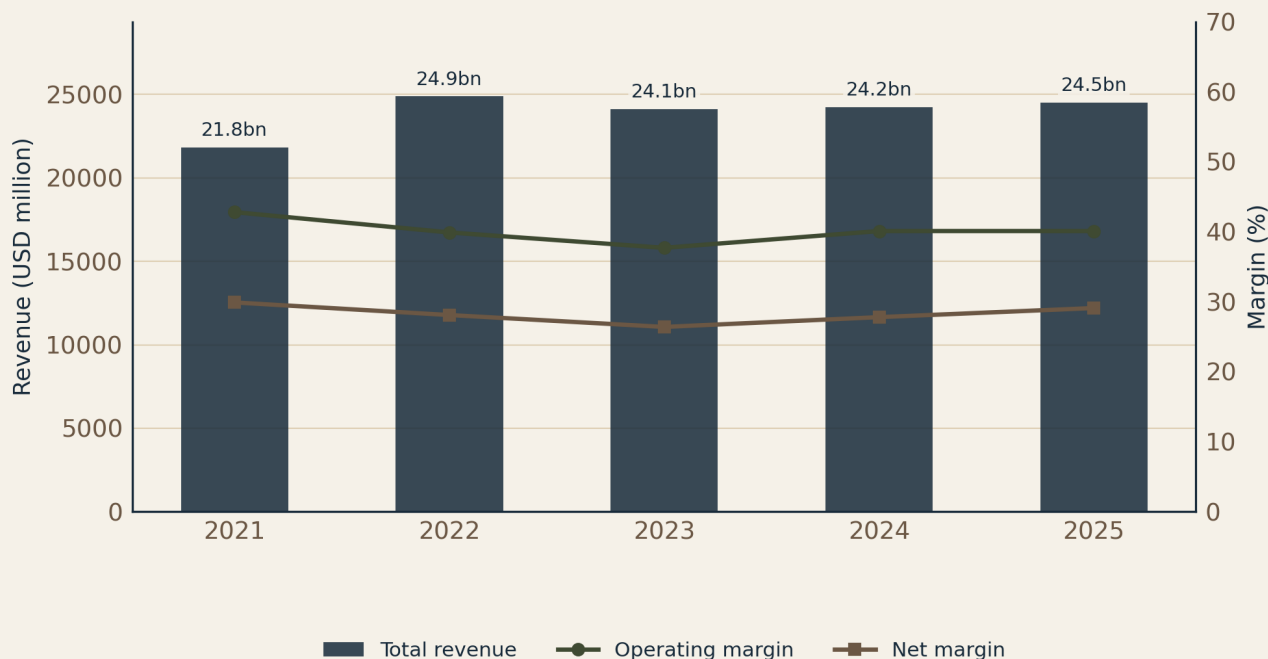


Exhibit B1-1. Total revenue and margins, FY2021-FY2025, USD million. Source: Union Pacific annual financial statements via Alpha Vantage; margins Calculated by the analyst.

EXHIBIT B1-2. PROFITABILITY, GROWTH AND RETURNS, FY2021-FY2025 (CALCULATED FROM REPORTED FINANCIAL STATEMENTS)

Metric	2021	2022	2023	2024	2025
Revenue (USD m)	21,804	24,875	24,119	24,250	24,510
Revenue growth	N/A	14.1%	(3.0%)	0.5%	1.1%
Operating ratio	57.2%	60.1%	62.3%	59.9%	59.9%
Operating margin	42.8%	39.9%	37.7%	40.1%	40.1%
Net margin	29.9%	28.1%	26.4%	27.8%	29.1%
Return on equity	46.1%	53.2%	47.3%	42.6%	40.4%
Return on invested capital	16.1%	16.6%	14.7%	15.4%	15.6%
Free cash flow (USD m)	6,096	5,742	4,773	5,894	5,499

Return on equity uses average shareholders' equity; return on invested capital uses NOPAT over average of total debt plus equity less cash. Both Calculated by the analyst from reported balance sheet and income statement data.

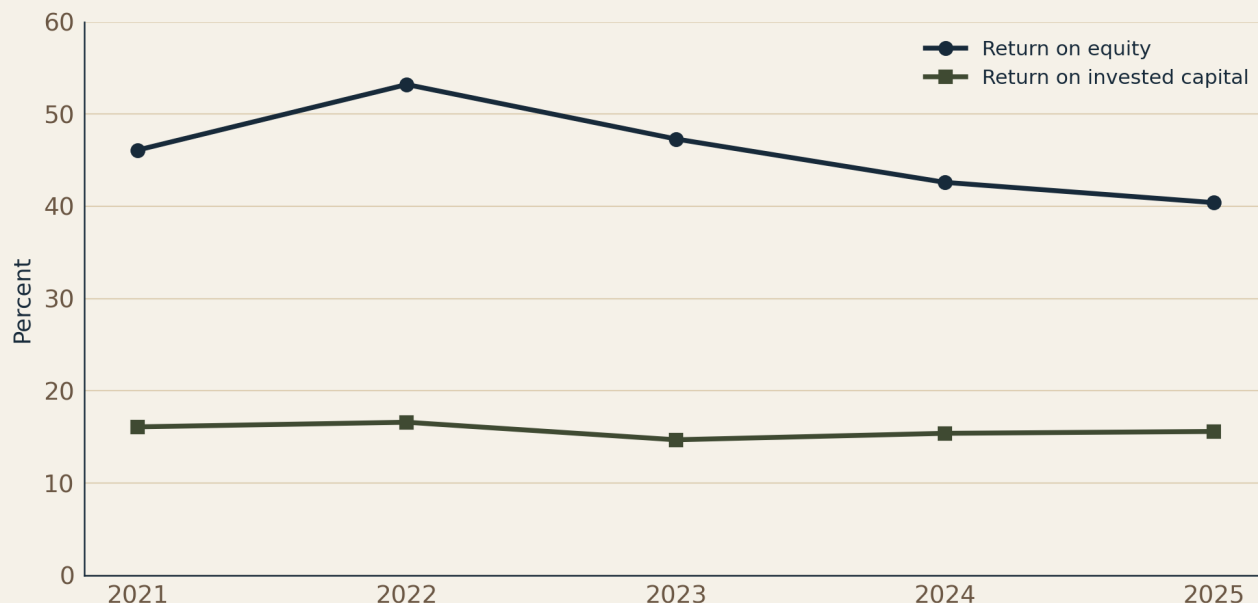


Exhibit B1-3. Return on equity and return on invested capital, FY2021-FY2025. Calculated by the analyst.

Return on equity has declined from a 2022 peak of 53.2% to 40.4% in 2025, almost entirely because shareholders' equity has rebuilt from USD 12.2 billion to USD 18.5 billion as retained earnings accumulated faster than buybacks reduced the equity base; a mechanical effect of slower repurchase activity rather than deteriorating profitability. Return on invested capital, a cleaner measure of operating profitability that is not distorted by leverage, has been far more stable, in a 14.7%-16.6% band throughout the period, comfortably above Union Pacific's estimated 8.6% weighted average cost of capital (Reasoned; see Section B3) and indicative of persistent economic value creation at the operating level.

Revenue growth has been the weakest link in the financial profile: outside the 2022 post-pandemic pricing and fuel-surge surge, organic revenue growth has been roughly flat to low single digits, reflecting the mature, low-growth nature of the underlying freight volumes discussed in Section A6. Margin and free-cash-flow discipline, not top-line growth, has been the primary driver of shareholder value creation over this period.

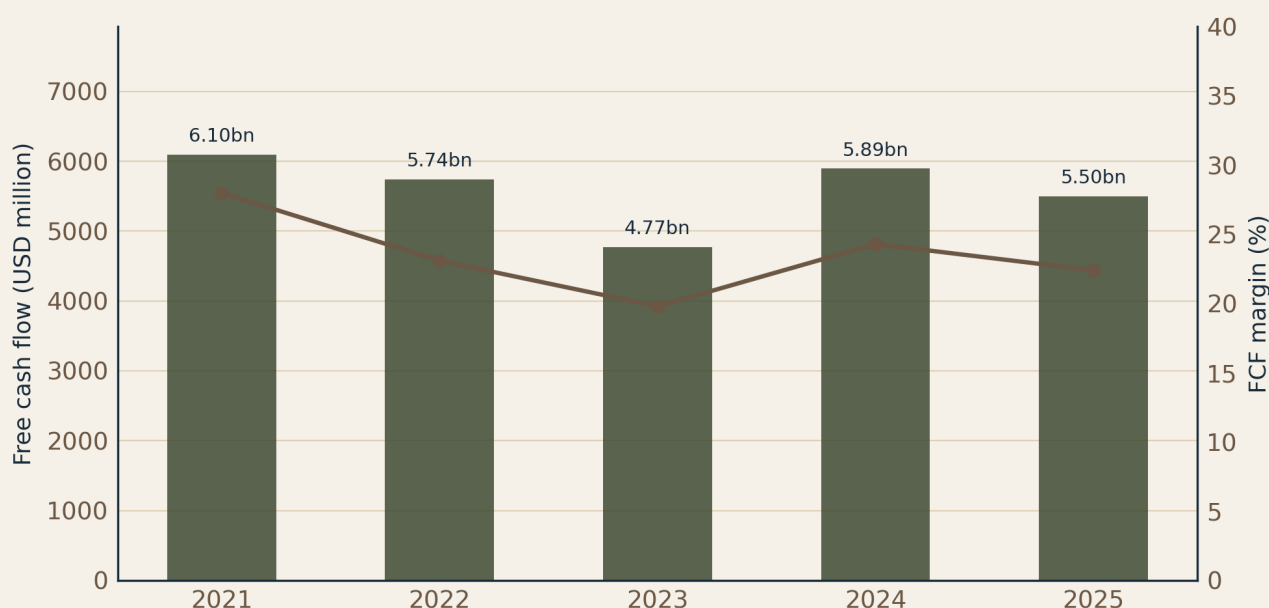


Exhibit B1-4. Free cash flow and FCF margin, FY2021-FY2025, USD million. Free cash flow defined as operating cash flow less capital expenditure. Calculated by the analyst from reported cash flow statements.

Free cash flow has been volatile within a USD 4.8-6.1 billion range, driven primarily by capital expenditure timing rather than by operating cash flow, which has been remarkably stable at USD 8.4-9.4 billion across all five years. Operating cash flow consistently exceeds net income (cash conversion, OCF/Ni, of 118%-139% across the period, Calculated), indicating that reported earnings are well supported by cash generation and that depreciation, a large non-cash charge in a capital-intensive business, is not masking any material earnings quality concern.

B2. Risks

BUSINESS RISK	Commodity concentration in agriculture, chemicals, coal and intermodal exposes revenue to sector-specific cycles; coal is in structural decline; a network confined to the western United States creates dependence on eastern interchange partners for coast-to-coast freight absent the Norfolk Southern merger
FINANCIAL RISK	Approximately USD 31.8 billion of existing debt plus new debt expected to fund a portion of the roughly USD 20.1 billion cash consideration for Norfolk Southern; pro forma leverage guided to approximately 3.3x EBITDA at deal close, up from 2.4x standalone (Sourced) ⁶
COMPETITIVE RISK	BNSF is a scaled, well-capitalized direct competitor across most of Union Pacific's western footprint and has stated intent to close its profitability gap; trucking remains a substitute for shorter-haul and time-sensitive freight
TECHNOLOGICAL RISK	Automation and precision-scheduled-railroading tools continue to reshape crew and asset utilization industry-wide; longer term, autonomous trucking could narrow rail's cost advantage on medium-haul lanes, though this remains an emerging and unproven risk
REGULATORY RISK	The Surface Transportation Board can reject, condition or delay the Norfolk Southern merger; the STB rejected Union Pacific and Norfolk Southern's initial December 2025 application as incomplete before accepting a revised application in May 2026, illustrating that outcomes are not guaranteed (Sourced) ¹⁰
MACRO RISK	Rising long-term interest rates (the 10-year U.S. Treasury yield traded near 4.7% in August 2026, with some forecasters expecting a move above 5% before year-end) raise financing costs for the pending acquisition and the discount rate applied to the equity; a freight or industrial recession would expose the fixed cost base (Sourced) ¹¹
VALUATION RISK	The stock trades at the top of its five-year P/E range on optimism tied to a merger that has not yet been approved; a rejection, a heavily conditioned approval, or a delay beyond the STB's expected late-2027 timeline could trigger material multiple compression independent of any change in the underlying freight business

The three risks most capable of permanently impairing shareholder value (Reasoned): first, an outright STB rejection or an approval so heavily conditioned (forced trackage rights, divestitures, employee protections beyond current commitments) that the anticipated network and cost synergies fail to materialize, leaving Union Pacific to have raised acquisition-related debt for a diminished strategic benefit; second, a sustained freight recession that exposes the combined entity's higher pro forma leverage at the same time that fixed costs cannot be reduced quickly; third, a reversal of the operating-ratio discipline built since 2023, whether through renewed service disruptions, labor disputes, or execution failures during a large and complex two-year integration.

B3. Valuation

EXHIBIT B3-1. VALUATION MULTIPLES, CURRENT VERSUS HISTORY AND PEERS

Metric	UNP current (21 Aug 2026)	UNP 5-year range	Peer range (BNSF n/a, private)
Trailing P/E	24.96x	18.5x - 25.4x	22.7x (CNI) - 30.5x (CP)
Forward P/E	23.7x	N/A	21.8x (CNI) - 27.5x (NSC)
EV/EBITDA (TTM)	16.58x	N/A	13.97x (CNI) - 17.13x (CP)
EV/Revenue (TTM)	8.40x	N/A	7.27x (CNI) - 9.02x (CP)
Price/FCF (FY2025)	33.28x	N/A	not directly comparable across peers
Price/Book	9.42x	N/A	2.47x (CP) - 6.67x (CSX)
Dividend yield	1.79%	N/A	1.01% (CP) - 2.82% (CNI)

UNP figures Calculated by the analyst using the 21 August 2026 closing price against trailing-twelve-month and FY2025 reported financial data. Peer figures Sourced from Alpha Vantage company overview data as of each company's most recent reported quarter (Q2 2026). Five-year P/E range Calculated from year-end closing prices and reported annual EPS.

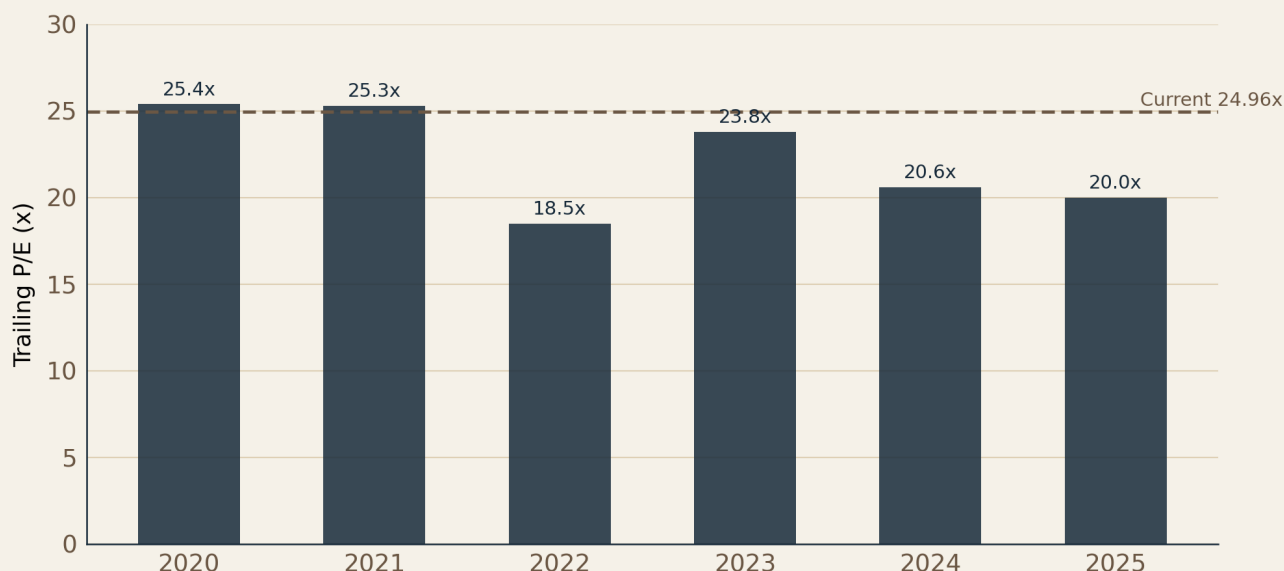


Exhibit B3-2. Trailing P/E at each fiscal year-end, 2020-2025, versus the current multiple. Calculated by the analyst from year-end closing prices and reported annual diluted EPS.

Union Pacific's trailing P/E of 24.96x sits at the top of its own five-year range and roughly 25% above where the multiple stood at the end of both 2024 (20.6x) and 2025 (20.0x), despite no change yet in the underlying regulatory status of the Norfolk Southern merger between year-end 2025 and the report date. Against peers, Union Pacific's P/E is below CSX, Norfolk Southern and Canadian Pacific Kansas City but above Canadian National; on EV/EBITDA it sits roughly in line with CSX and Norfolk Southern and modestly below Canadian Pacific Kansas City. The peer comparison alone does not suggest Union Pacific is expensive; the more informative comparison is against its own history and against a standalone cash-flow valuation.

Discounted cash flow (Reasoned; assumptions stated explicitly)

The following is a standalone valuation of Union Pacific as it exists today, excluding the Norfolk Southern transaction, whose financial contribution cannot yet be modeled with any reliability given it has not closed and remains subject to regulatory conditions that could change its economics. Assumptions: five-year explicit forecast from a FY2025 revenue base of USD 24.51 billion; weighted average cost of capital of 8.6%, derived from a cost of equity of 9.53% (risk-free rate 4.7%,

beta 0.965, equity risk premium of 5.0%) and an after-tax cost of debt of 3.2% (effective 2025 tax rate of 22.1%), weighted at the current market capitalization; capital expenditure held at 15.5% of revenue and depreciation at 10.0% of revenue, both in line with FY2025 actuals; corporate tax rate of 23%.

EXHIBIT B3-3. DISCOUNTED CASH FLOW SCENARIOS, STANDALONE UNION PACIFIC

Scenario	5-year revenue CAGR	Terminal operating margin	Terminal growth	Implied value per share
Bear	2.0%	39.0%	2.0%	USD 106
Base	4.5%	41.0%	2.5%	USD 146
Bull	6.5%	43.0%	3.0%	USD 191

Reasoned analyst estimate, not a company forecast. A discounted cash flow produces a range, not a precise intrinsic value; small changes in the discount rate and terminal growth assumption move the result materially, as shown in the sensitivity table below.

EXHIBIT B3-4. BASE CASE SENSITIVITY: IMPLIED VALUE PER SHARE BY WACC AND TERMINAL GROWTH RATE

WACC \ Terminal growth	1.5%	2.0%	2.5%	3.0%	3.5%
7.5%	155	171	189	211	239
8.0%	139	152	167	185	207
8.6% (base)	123	133	145	159	176
9.0%	113	123	133	145	159
9.5%	103	111	120	130	142

What does the current price require?

The standalone discounted cash flow range of USD 106-191 per share sits well below the 21 August 2026 closing price of USD 308.05. Solving in reverse for what the base-case operating assumptions would need to look like to justify the current price at an 8.6% discount rate requires either a five-year revenue compound annual growth rate of approximately 19% (versus a five-year historical CAGR of roughly 3%), or a terminal growth rate of approximately 5.6% in perpetuity (well above plausible long-run nominal GDP growth), or, holding revenue and margin assumptions at the base case, a discount rate of approximately 5.9%; noticeably below the 8.6% that the stock's own beta and prevailing risk-free rate would suggest (Calculated by the analyst; see methodology above).

None of these figures should be read as errors in the model; they describe what market participants appear to be pricing in. The gap is most plausibly explained by some combination of: the market treating Union Pacific's cash flows as unusually safe and long-duration, akin to infrastructure or toll-road assets, and therefore worth a lower effective discount rate than a mechanical CAPM calculation implies; embedded optionality on the Norfolk Southern merger closing and delivering synergies that a standalone model, by design, excludes; and a broader 2026 market environment in which quality large-cap industrials have re-rated (the S&P 500 itself returned approximately 12.4% year to date through 20 August 2026, Sourced).¹² Whether that combination of explanations justifies the current multiple is a judgment the reader must form; the analysis here is limited to making the assumptions explicit.

B4. Capital Market and Stock Analysis

EXHIBIT B4-1. PRICE RETURNS TO 21 AUGUST 2026 CLOSE (CALCULATED FROM ALPHA VANTAGE PRICE HISTORY)

Period	Return
1 week	+4.9%
1 month	+2.1%
3 months	+13.9%
6 months	+15.8%
Year to date (2026)	+32.0%
1 year	+39.5%
3 years	+36.8%
5 years	+37.7%

Price returns only, not adjusted for dividends. Benchmark: the S&P 500 returned approximately +12.4% on a total-return basis year to date through 20 August 2026 (Sourced, ChartRow/SPY data)¹²; Union Pacific has materially outperformed the broad market year to date.

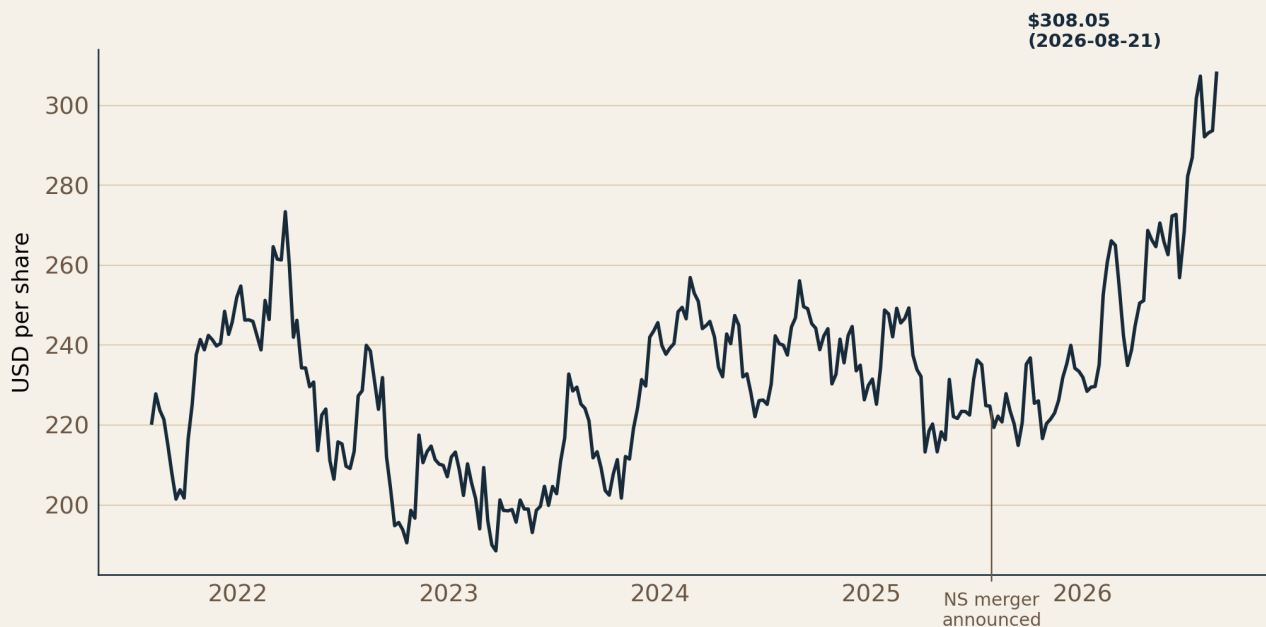


Exhibit B4-2. UNP weekly closing price, August 2021 - August 2026, with the Norfolk Southern merger announcement date marked. Source: Alpha Vantage market data.

Union Pacific shares closed at USD 308.05 on 21 August 2026, an all-time closing high, having risen without interruption from a 2023 trough of roughly USD 190 (weekly close basis) to current levels. The maximum peak-to-trough drawdown over the past five years was approximately 31%, occurring in March 2023 amid a leadership transition and a period of operational underperformance that preceded Jim Vena's return as CEO. Annualized volatility (weekly returns) has been approximately 22% over both the trailing one-year and trailing five-year windows, broadly in line with a large-cap industrial with a beta of 0.965; UNP's price moves have historically tracked close to the broad market's own volatility, neither materially more defensive nor more volatile.

The 50-day moving average (USD 285.40) sits well above the 200-day moving average (USD 255.88), and the current price sits above both, consistent with a sustained uptrend rather than a short-term technical spike (Sourced, Alpha Vantage company data). The 52-week range of USD 207.45-315.99 shows the stock trading within roughly 3% of its 52-week high at the report date. None of this technical structure changes the fundamental valuation conclusion in Section B3; it simply

confirms that the current price reflects sustained, broad-based buying rather than a single-day spike, most plausibly tied to the STB's 18 August 2026 decision to adopt a formal procedural schedule for the Norfolk Southern merger review; a signal that the process, while still more than a year from a final ruling, is moving forward rather than stalling.

C. Financial Statements

C1. Income Statement

EXHIBIT C1-1. CONSOLIDATED INCOME STATEMENT SUMMARY, FY2021-FY2025, USD MILLION (REPORTED, ALPHA VANTAGE / SEC FILINGS)

USD million	2021	2022	2023	2024	2025
Total revenue	21,804	24,875	24,119	24,250	24,510
Operating expense	12,466	14,958	15,037	14,537	14,671
Operating income	9,338	9,917	9,082	9,713	9,839
Interest expense	1,157	1,271	1,340	1,269	1,309
Income before tax	8,478	9,072	8,233	8,794	9,166
Income tax expense	1,955	2,074	1,854	2,047	2,028
Net income	6,523	6,998	6,379	6,747	7,138
Diluted EPS (USD)	9.96	11.22	10.32	11.16	11.67
EBITDA	11,843	12,636	11,928	12,498	12,947

Operating expense is Derived as total revenue less operating income. All other figures Reported. Union Pacific's own income statement presentation groups operating expense into compensation and benefits, fuel, purchased services and materials, depreciation, equipment and other rents, and other; that level of detail is available in the FY2025 Form 10-K and is summarized here at the level materially relevant to profitability analysis.

Revenue growth has been modest and uneven: a 14.1% surge in 2022 reflected a combination of core pricing increases and a large fuel-surge tailwind as diesel prices spiked, followed by a 3.0% decline in 2023 as fuel surcharges normalized and volumes softened, and roughly flat growth in 2024 and 2025. Growth over this period has come predominantly from price and fuel-surge pass-through rather than from volume or market-share gains; 2025 revenue carloads rose only 1% year over year (Sourced, Union Pacific FY2025 results).² Operating leverage has been positive but not dramatic: operating margin recovered from a 2023 trough of 37.7% to 40.1% in both 2024 and 2025 as the operating ratio improved, without a corresponding acceleration in revenue, indicating that margin expansion has been a cost and network-efficiency story rather than a volume-driven one. Net margin has followed a similar pattern, ending the period at 29.1%, its highest level since 2021.

C2. Balance Sheet

EXHIBIT C2-1. BALANCE SHEET SUMMARY, FY2024-FY2025, USD MILLION (REPORTED)

USD million	FY2024	FY2025
Cash and short-term investments	1,016	1,275
Other current assets	3,005	3,280
Property, plant and equipment (net)	59,640	60,681
Other non-current assets	4,054	4,462

USD million	FY2024	FY2025
Total assets	67,715	69,698
Short-term debt (incl. current portion)	1,771	782
Long-term debt	29,767	30,294
Total debt	32,463	31,814
Other liabilities	18,362	19,417
Total liabilities	50,825	51,231
Shareholders' equity	16,890	18,467
Net debt (Calculated)	31,447	30,539
Net debt / EBITDA (Calculated)	2.52x	2.36x
Debt / Equity (Calculated)	1.92x	1.72x
Interest coverage, EBIT/interest (Calculated)	7.65x	7.52x

Source: Union Pacific balance sheet data via Alpha Vantage, cross-referenced against the FY2025 Form 10-K. Leverage ratios Calculated by the analyst.

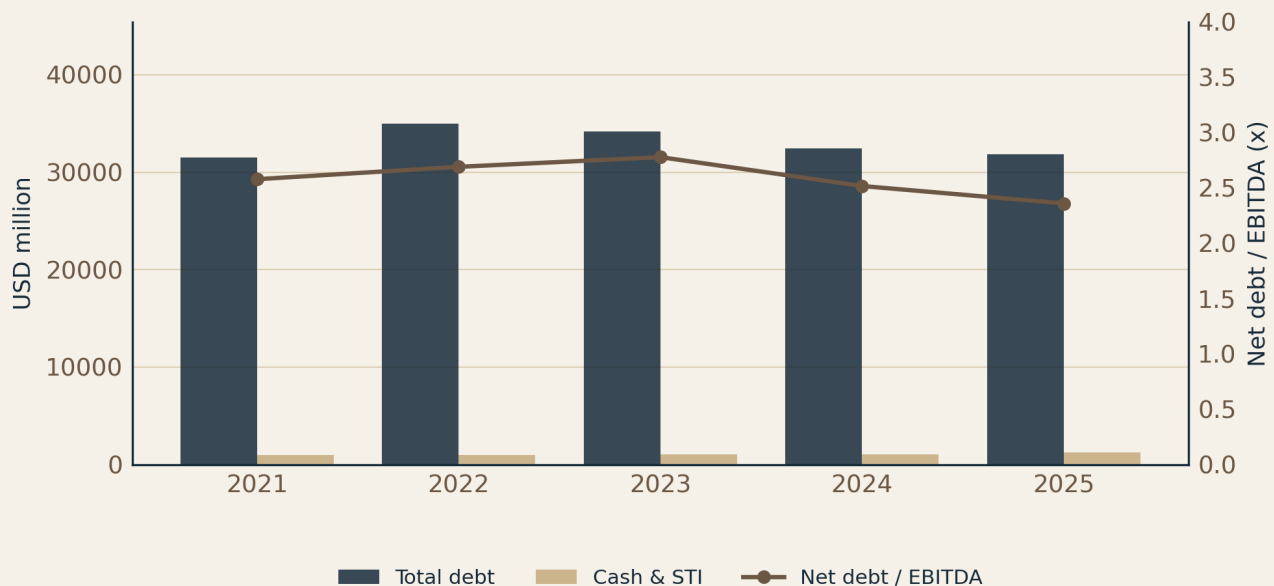


Exhibit C2-2. Total debt, cash and net debt/EBITDA, FY2021-FY2025. Calculated by the analyst from reported balance sheet and income statement data.

The balance sheet is dominated by property, plant and equipment (USD 60.7 billion net, 87% of total assets), reflecting the fixed, irreplaceable nature of the rail network discussed in Section A5. Leverage has declined steadily since 2022, with net debt/EBITDA falling from 2.7x to 2.4x and debt/equity falling from over 2.3x to 1.7x as retained earnings accumulated faster than new borrowing. There is no goodwill on the balance sheet of any consequence and no material off-balance-sheet financing structure disclosed. The clearest forward-looking balance-sheet consideration is not a current red flag but a known event: management has guided to pro forma leverage of approximately 3.3x EBITDA at the close of the Norfolk Southern transaction, funded by a combination of new debt and existing cash, which would represent a meaningful but not alarming increase from the current 2.4x (Sourced).⁶ Working capital is structurally negative to modestly positive, typical for a railroad with limited inventory and rapid receivables turnover relative to its asset base, and is not a source of balance-sheet strain.

C3. Cash Flow Statement

EXHIBIT C3-1. CASH FLOW SUMMARY, FY2021-FY2025, USD MILLION (REPORTED, ALPHA VANTAGE / SEC FILINGS)

USD million	2021	2022	2023	2024	2025
Operating cash flow	9,032	9,362	8,379	9,346	9,290
Capital expenditure	2,936	3,620	3,606	3,452	3,791
Free cash flow (Calculated)	6,096	5,742	4,773	5,894	5,499
Dividends paid	2,800	3,159	3,173	3,213	3,236
Share repurchases	7,291	6,282	705	1,505	2,679
OCF / Net income (cash conversion, Calculated)	138.5%	133.8%	131.4%	138.5%	130.2%
FCF margin (Calculated)	28.0%	23.1%	19.8%	24.3%	22.4%

Operating cash flow has consistently and materially exceeded net income across all five years shown, with cash conversion never falling below 130%. This is expected and healthy for a capital-intensive railroad: depreciation is a large non-cash charge (USD 2.5 billion in 2025) that reduces net income but not cash generation. There is no indication in this data that reported earnings diverge from underlying cash generation in a way that should concern a reader; net income and cash generation move together, with cash generation the larger and more stable of the two figures. Capital expenditure has trended gradually higher in absolute terms (from USD 2.9 billion in 2021 to USD 3.8 billion in 2025) while remaining a relatively stable 12-16% of revenue, consistent with sustaining rather than aggressively expanding the network. The most notable trend is in financing activity: share repurchases fell from USD 7.3 billion in 2021 to as little as USD 0.7 billion in 2023 before partially recovering to USD 2.7 billion in 2025, while dividends have grown steadily and predictably every year. Investors should read the 2026 pace of buybacks, once reported, as a signal of how aggressively management intends to preserve balance-sheet capacity for the Norfolk Southern transaction.

C. Financial Statements (continued)

C4. Forecasting and Projections

Union Pacific's own trajectory through the first half of 2026 provides the most reliable near-term signal: second-quarter 2026 revenue rose 12% year over year to USD 6.9 billion, aided by 2% volume growth, core pricing gains, and a higher fuel surcharge, while the operating ratio moved to 59.7% reported (59.2% adjusted) from 59.0% a year earlier as higher fuel costs added roughly 120 basis points of pressure (Sourced).¹³ This is a useful near-term data point but should not be extrapolated mechanically into a multi-year forecast: a meaningful share of the year-over-year revenue increase reflects fuel-surge pass-through, which moves with energy prices rather than with underlying freight demand.

Revenue modeling (Reasoned): absent the Norfolk Southern transaction, a reasonable base-case expectation is low-to-mid single-digit annual revenue growth, consistent with the 2021-2025 trend once the 2022 fuel-surge spike and 2023 normalization are averaged out, driven by a combination of core pricing (historically 2-4% annually) and modest volume growth tied to U.S. industrial production and agricultural export cycles.

Margin projections (Reasoned): the operating ratio has compressed from the low 60s to just under 60% since 2023 under Vena's operating discipline; further improvement toward the high 50s appears achievable based on management's own commentary and precedent at CN and other precision-scheduled-railroading adopters, but is not guaranteed and would require continued network fluidity and disciplined cost control through a period that will also involve a major systems and network integration if the Norfolk Southern deal closes.

Working capital and capital expenditure (Reasoned): working capital requirements are structurally low and not expected to be a meaningful swing factor. Capital expenditure is expected to remain in the 14-16% of revenue range that has held since 2021, reflecting the ongoing need to maintain track, signaling and equipment on a network of this scale; a step-up beyond that range would most likely follow, not precede, the close of the Norfolk Southern transaction as the combined network is integrated.

Scenario summary

Scenario	Description
Base case	Standalone Union Pacific grows revenue at a low-to-mid single-digit rate, operating ratio drifts toward 59%, free cash flow grows roughly in line with net income; the Norfolk Southern merger proceeds through STB review on the current procedural timeline with a final decision in the second half of 2027, outcome uncertain
Bull case	Operating ratio improves faster than history suggests is typical, pricing power holds through a stronger freight cycle, and the STB approves the Norfolk Southern merger with limited conditions, allowing the combined company to pursue the network and cost synergies management has outlined
Bear case	Freight volumes soften in a weaker industrial or agricultural cycle, fuel-cost pressure persists, and the STB rejects or heavily conditions the Norfolk Southern merger, leaving Union Pacific to have taken on incremental deal-related costs and management distraction without the offsetting strategic benefit

C5. Discounted Cash Flow Model

The full discounted cash flow methodology, scenario assumptions, and sensitivity analysis are presented in Section B3 to keep the valuation discussion in one place. In summary: a standalone, pre-merger discounted cash flow using an 8.6% weighted average cost of capital produces an implied value range of approximately USD 106 to USD 191 per share across

bear, base and bull operating assumptions, versus a 21 August 2026 closing price of USD 308.05. The gap is analyzed in Section B3 rather than treated as a simple "overvalued" conclusion, because it may reflect a market discount rate below what CAPM alone would suggest for an asset of this quality and duration, together with unmodeled Norfolk Southern merger optionality.

C6. Leveraged Buyout Model

A leveraged buyout analysis is not applicable to Union Pacific. At an enterprise value of approximately USD 213.5 billion, the company is far too large for a conventional financial-sponsor buyout to be a realistic transaction structure, and its status as a regulated common carrier under Surface Transportation Board oversight would make private-equity ownership structurally unusual for the industry. The relevant "leverage" event for this company is the debt-funded cash portion of the pending Norfolk Southern acquisition, which is analyzed as a balance-sheet and risk consideration in Sections B2 and C2 rather than as a standalone LBO.

D. Investment Thesis

Bull Case

The Surface Transportation Board approves the Norfolk Southern merger in the second half of 2027 with conditions the combined company can absorb, creating the first true single-line transcontinental U.S. railroad and unlocking network density, single-line service and cost synergies across a system of more than 50,000 route miles. Union Pacific's own operating-ratio improvement continues toward the high 50s or lower, pricing discipline holds through the freight cycle, and the combined entity delevers from its post-close ~3.3x EBITDA back toward 2.5x within a few years, freeing capital for renewed buybacks. In this scenario the market's current, aggressive embedded growth and duration assumptions (Section B3) are validated by actual post-merger earnings power, and the stock's premium multiple persists or expands further.

Bear Case

The STB rejects the merger outright, or approves it with conditions (forced trackage rights, divestitures of overlapping segments, extended labor protections) severe enough to erode the projected synergies, echoing the STB's initial rejection of the companies' first application in January 2026 for incompleteness. Union Pacific is left having raised incremental acquisition-related debt and diverted management attention for a diminished or no strategic benefit, while a simultaneous freight-volume downturn exposes the higher fixed-cost base. The current premium valuation, built substantially on merger optionality and a market-implied discount rate well below what the stock's fundamentals alone would support, compresses toward levels more consistent with the standalone discounted cash flow range in Section B3.

Base Case

Union Pacific continues to generate low-to-mid single-digit revenue growth and high-30s to low-40s operating margins as a standalone business through the remainder of the STB review, which proceeds on or close to its current disclosed schedule (comments due November 2026, responses due February 2027, final briefs due May 2027, decision plausible in the second half of 2027). Free cash flow continues to fund the dividend comfortably while buybacks remain subdued to preserve capacity for the cash portion of the transaction. The stock's valuation likely remains sensitive to news flow on the merger review in the interim, with less connection to the underlying quarterly operating results than has historically been the case.

Catalysts

Surface Transportation Board procedural milestones (the November 2026 comment deadline, February 2027 response deadline, the public hearing once scheduled, and May 2027 final briefs); quarterly operating-ratio trends, particularly whether Union Pacific can hold or extend its margin advantage over BNSF; fuel-price movements given their direct pass-through effect on reported revenue growth; any change in the pace of share repurchases as a signal of management's confidence in funding the Norfolk Southern cash consideration from operating cash flow versus incremental debt; and the eventual STB ruling itself, which is the single largest identifiable catalyst on the horizon.

Things to Monitor

STB PROCEDURAL FILINGS

Determines the probability and timing of merger approval; positive: schedule holds or accelerates with limited new conditions requested; negative: further delay, additional information requests, or signs of Board skepticism similar to the January 2026 rejection

OPERATING RATIO (QUARTERLY)	Core measure of standalone execution; positive: continued improvement toward the high 50s; negative: reversal toward 62%+ levels last seen in 2023
SHARE REPURCHASE PACE	Signals capital allocation priorities ahead of the merger's cash consideration; positive: buybacks resume at a healthy pace, implying confidence in balance-sheet capacity; negative: buybacks suspended entirely, implying capital strain
NET DEBT / EBITDA	Tracks balance-sheet capacity for the pending acquisition; positive: leverage holds near or below 2.5x pre-close; negative: leverage rises meaningfully before the deal even closes
FREIGHT CARLOAD VOLUMES	Underlying demand signal independent of pricing and fuel surcharge; positive: broad-based volume growth across Bulk, Industrial and Premium; negative: volume decline concentrated in Industrial, often an early recession indicator

E. Final Investment Framework

BUSINESS QUALITY	High. A structurally scarce, irreplaceable rail network with a durable regional moat and consistent double-digit returns on invested capital well above its cost of capital.
FINANCIAL QUALITY	Strong. Operating margins near 40%, cash conversion consistently above 130% of net income, and a leverage profile that has improved steadily since 2022.
COMPETITIVE POSITION	Strong within its western footprint, with a structural gap (lack of eastern network) that the pending Norfolk Southern acquisition is specifically designed to close.
MANAGEMENT	Experienced and operationally focused; Jim Vena's return in August 2023 coincided with a sustained operating-ratio improvement and a deliberate slowdown in buybacks to preserve capital for the pending acquisition.
INDUSTRY	Mature, slow-growth, and currently consolidating; regulatory approval (Surface Transportation Board) is the binding constraint on further industry structural change.
VALUATION	Rich. Trading at the top of its own five-year P/E range and at a level a conservative standalone discounted cash flow does not support without aggressive growth, terminal-growth, or discount-rate assumptions.
TECHNICAL AND MARKET STRUCTURE	Strong uptrend; shares closed at an all-time high on the report date, trading above both the 50-day and 200-day moving averages, with volatility in line with the broad market.
PRINCIPAL RISK	Surface Transportation Board rejection or heavy conditioning of the Norfolk Southern merger, following the precedent of the Board's January 2026 rejection of the companies' initial application for incompleteness.
PRINCIPAL CATALYST	Progress through and eventual resolution of the STB's disclosed merger review schedule, with a final decision plausible in the second half of 2027 at the earliest.
KEY VARIABLE	The outcome and terms of the Surface Transportation Board's review of the Norfolk Southern acquisition; more than any single quarter's operating results, this single regulatory decision is what the current share price is most sensitive to.
THESIS INVALIDATION	The investment thesis would become materially weaker if the Surface Transportation Board rejects the Norfolk Southern merger application a second time, if approval comes with conditions that management or independent analysts judge to eliminate most of the projected synergies, if the standalone operating ratio reverses back above 62% for more than two consecutive quarters, or if net debt/EBITDA rises above approximately 3.5x before the transaction has closed.

F. Company Snapshot

Category	Metric	Current	Prior Year	5-Year Trend
Market	Market Capitalization	USD 183.0bn	N/A	N/A
Market	Enterprise Value	USD 213.5bn	N/A	N/A
Market	Share Price	USD 308.05	USD 233.44 (YE2025)	USD 208.22 (YE2020)
Growth	Revenue Growth (FY)	1.1% (FY2025)	0.5% (FY2024)	2.9% CAGR (FY21-25)
Profitability	Operating Margin	40.1% (FY2025)	40.1% (FY2024)	37.7% - 42.8% range
Profitability	Net Margin	29.1% (FY2025)	27.8% (FY2024)	26.4% - 29.9% range
Profitability	Return on Equity	40.4% (FY2025)	42.6% (FY2024)	40.4% - 53.2% range
Profitability	Return on Invested Capital	15.6% (FY2025)	15.4% (FY2024)	14.7% - 16.6% range
Cash Flow	Operating Cash Flow	USD 9.29bn (FY2025)	USD 9.35bn (FY2024)	USD 8.4-9.4bn range
Cash Flow	Free Cash Flow	USD 5.50bn (FY2025)	USD 5.89bn (FY2024)	USD 4.8-6.1bn range
Leverage	Net Debt / EBITDA	2.36x (FY2025)	2.52x (FY2024)	2.36x - 2.87x range
Valuation	P/E (trailing)	24.96x	20.0x (YE2025)	18.5x - 25.4x range
Valuation	EV/EBITDA	16.58x	N/A	N/A
Valuation	Price / FCF	33.28x	N/A	N/A
Market	Beta	0.965	N/A	N/A
Market	Annualized Volatility (weekly)	22.2% (1Y)	N/A	22.5% (5Y)
Market	Maximum Drawdown (5Y)	(31.0%), Mar 2023	N/A	N/A

Current figures as of 21 August 2026 close or most recent reported fiscal period as indicated. Market data Calculated by the analyst from Alpha Vantage price history; financial statement figures Reported or Calculated as indicated throughout Sections B and C.

This report has been prepared for personal research purposes only and does not constitute investment advice, financial advice, or a recommendation to buy, sell, or hold any security. The information contained herein has been compiled with the assistance of artificial intelligence and is based on publicly available sources believed to be reliable, but its accuracy and completeness are not guaranteed. Past performance is not indicative of future results. Investors should conduct their own due diligence and consult with a qualified financial professional before making any investment decisions.

G. Sources and Methodology

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Calculations

The following are Calculated by the analyst from the reported data cited above and are not directly reported by the company: operating ratio, operating and net margin trends, return on equity, return on invested capital, free cash flow and FCF margin, net debt and net debt/EBITDA, debt/equity, interest coverage, cash conversion (OCF/net income), enterprise value and all derived valuation multiples (trailing P/E at each historical year-end, EV/EBITDA, EV/Revenue, price/FCF, price/book), the discounted cash flow scenarios and sensitivity table, the reverse-solved "what does the price imply" analysis, and all price-return, volatility and drawdown statistics in Section B4.

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